In-class exercise: promotions ROI

Marketing Analytics · Session 5 · Fill in the shaded cells. Cases are given; convert to gross dollars and compute costs and ROI.

	Cases	Gross dollars
Baseline (sales that would have occurred during the four-week promotion period even without the promotion)	400	
Incremental sales to consumer		
Due to one week of feature	100	
Due to 50% of stores with three weeks of display and price reduction	250	
Due to 50% of stores with four weeks of price reduction only	80	
Total incremental	430	
Ten weeks of forward buying by retailers	1,000	
Total sales during promotion	1,830	
Cost of promotion ((baseline + forward buying) × 15% discount)		
Cost of incremental sales (promotion cost ÷ total incremental sales)		

Assumptions

- Four-week period
- Base sales are 100 cases per week
- List price is $10 per case
- 15% off-invoice offered for four weeks
- Calculate ROI if margin is 50%

ROI formula

ROI = (margin × incremental sales – cost) / cost of promotion

Your ROI

ROI = _____

Note: the discount on incremental sales is **not** part of the promotion cost.

Work space (optional)